

levying a compensation cess on luxury, sin, and demerit goods beyond March 2026.

Experts have called for more clarity on some of the measures. Rastogi says while the sunset clause on anti-profiteering is a showstopper, industry was awaiting clarity on the methodology to be followed. "In the absence of any announcement for the determination of methodology, the industry players will have to continue their litigation before courts and different forums," he says.

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Saurabh Agarwal, Tax Partner at consulting firm EY, says more measures are needed. "Dispute resolution requires a multi-faceted approach. We advocate for an amnesty scheme, a national authority for advance rulings, and full appointment of the Goods and Services Tax Appellate Tribunal (GSTAT)," he says, adding that industry engagement and audit efficiency can be improved through sectoral committees and standardised compliance manuals.

Given the Council's focus on hearing out stakeholders and clarifying issues they raise, it is likely to work on many of these areas in the coming months. For now, the wait is on for the Council's next meeting. **BT**

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IPO

GEARING UP

Hyundai Motor India is gearing up for what could potentially be India's largest IPO, expected to bring in a staggering \$2.5-3 billion for its Korean parent company

BY ARNAB DUTTA & RAHUL OBEROI

► **HYUNDAI MOTOR INDIA (HMIL)**, the country's second-largest passenger carmaker, is gearing up for an initial public offering (IPO). The Gurugram-headquartered local subsidiary of Korean automaker Hyundai Motor Company (HMC) recently filed a draft red herring prospectus with the market regulator Sebi (Securities and Exchange Board of India) to dilute a part of its promoter stake. Although it has not announced any specific date for its IPO, sources indicate that HMIL, a 100% subsidiary of HMC, might make its market debut as early as 2025.

As per the DRHP, the company's plan involves an offer for sale (OFS), through which the parent HMC intends to sell 142.2 million of its shares, representing 17.5% of HMIL. The company has not disclosed the expected proceeds from the IPO. However, according to estimates by Nomura, it could fetch the Korean parent a whopping \$2.5-3 billion (up to ₹25,000 crore). If successful, the market debut of

HMIL will go down as India's largest IPO. State insurer Life Insurance Corporation of India's (LIC) ₹21,000-crore public offer in 2022 currently holds the record for the largest IPO in India.

As per experts, the automaker's decision to enter the market through the OFS route means that HMC will receive all the proceeds; and HMIL, currently not allowed to issue new shares during the IPO, will not get anything. However, the

move is expected to benefit HMIL, giving it the opportunity to secure additional funding from the market if needed later to support its future growth and capex requirements. "For HMC, the IPO of Hyundai Motor India will help the Indian entity eas-

ily raise funds in the future without the need for any dependence on the Korean parent. This, we believe, should help alleviate the capex and investment burden on the parent, which would have been necessary for any future expansion in India," analysts at Nomura note.

According to Nomura, HMIL will be valued at \$18-30 billion (₹1,50,000-2,50,000 crore) on

HYUNDAI MOTOR INDIA MIGHT MAKE ITS MARKET DEBUT AS EARLY AS 2025, ACCORDING TO SOURCES